

work,” instead of the “This is wrong” approach I was using before. The change in style is what earned me the hugs and supply of Diet Coke and helped me get my message across. David’s comments also inspired me to focus more on iatrogenics, harm caused by the need to use quantitative models.

David Freedman passed away a few weeks after the meeting.* Thank you, David. You were there when the Black Swan needed you. May you and your memory rest in peace.

Which brings us to the solution. After all this undecidability, the situation is not dire at all. Why? We, simply, can build a map of where these errors are more severe, what to watch out for.

DECISIONS

When you look at the generator of events, you can tell a priori which environment can deliver large events (Extremistan) and which environment cannot deliver them (Mediocristan). This is the only a priori assumption we need to make. The only one.

So that’s that.

I. The first type of decision is simple, leading to a “binary” exposure: that is, you just care about whether something is true or false. Very true or very false does not bring you additional benefits or damage. Binary exposures do not depend on high-impact events as their payoff is limited. Someone is either pregnant or not pregnant, so if the person is “extremely pregnant” the payoff would be the same as if she were “slightly pregnant.” A statement is “true” or “false” with some confidence interval. (I call these M0 as, more technically, they depend on what is called the zeroth moment, namely on the probability of events, and not on their magnitude—you just care about “raw” probability.) A biological experiment in the laboratory and a bet with a friend about the outcome of a soccer game belong to this category.

Clearly, binary outcomes are not very prevalent in life; they mostly exist in laboratory experiments and in research papers. In life, payoffs are usually open-ended, or, at least, variable.

II. The second type of decision is more complex and entails more openended exposures. You do not just care about frequency or probability, but about the impact as well, or, even more complex, some function of the impact. So there is another layer of uncertainty of impact. An epidemic or a war can be mild or severe. When you invest you do not